

Prime Cost: The Single Number That Predicts Survival

What Labor Cost % Misses — and How to Know If Your Restaurant Is Actually Healthy

TL;DR — READ THIS EVEN IF YOU SKIP THE REST

- › Prime Cost = (Food & Beverage COGS + Total Labor) / Total Revenue. Industry target: under 60-65%.
- › Labor cost % lies. It hides scheduling waste, overtime creep, and comp abuse.
- › Catering and private events routinely hit 35-45% prime cost — half the risk of a slow dining room.

THE METRIC YOUR ACCOUNTANT KNOWS BUT YOUR POS IGNORES

Most restaurant operators watch two numbers: food cost % and labor cost %. Both are useful. Neither is enough. Watch them in isolation and you can hit your food cost target while your labor quietly eats your margin — or hit your labor target on a night your kitchen threw out a third of its prep.

Prime Cost collapses both into one. **It is the single most predictive metric for whether an independent restaurant is financially healthy.** Operators who track it weekly close faster, staff smarter, and catch problems a full month before their P&L; does.

THE FORMULA

Two inputs. One number. Everything you need to know about your biggest cost centers.

THE FORMULA

Prime Cost % = (COGS + Total Labor) / Total Revenue x 100

COGS = cost of food and beverage sold (not purchased — sold). **Total Labor** = all wages, salaries, payroll taxes, and benefits. **Total Revenue** = gross sales before comps and voids.

WHAT TO DO WITH YOUR NUMBER

Three zones — and only one is safe:



The industry benchmark for full-service independent restaurants is **60-65%**. That is survivable — not comfortable. Strong independents run 55-58%. If you are above 65%, the math does not work at normal revenue levels, and you need to diagnose which half of the equation is out of control.

HOW TO CALCULATE YOURS THIS WEEK

You do not need a bookkeeper or a new software subscription. Your POS and your payroll report have everything. Run this for your last complete week to start, then build the habit monthly.

1

Pull your Cost of Goods Sold from your POS or invoices.

Most POS systems report theoretical food cost. Use actual COGS: beginning inventory + purchases - ending inventory. If you do not take weekly inventory, use your invoice total as an estimate to start.

2

Pull total labor cost from your payroll report.

Include all hourly wages, salaried managers, payroll taxes, and any benefits costs. If your payroll provider separates employer taxes, include those — they are a real cost of your labor.

3

Divide by your total revenue for the same period.

Add COGS and Total Labor, divide by Gross Revenue, multiply by 100. That is your Prime Cost %. Run it for the full period, then break it down by week if you want to spot the outliers.

SEE IT IN ACTION: A DALLAS INDEPENDENT, FULL MONTH

Here is what the calculation looks like for a mid-volume full-service independent in the Dallas market.

YOUR NUMBERS

Monthly Revenue	\$187,400
Food & Beverage COGS	\$54,340 (29.0%)
Total Labor (wages + taxes)	\$64,716 (34.5%)
Combined Cost	\$119,056

PRIME COST

63.5%

prime cost

READ THE NUMBER

At 63.5%, this operator is in the "tight but viable" zone. Food cost is solid at 29%. The issue is labor at 34.5% — two points above the 32% target for full-service. That gap is about \$3,700/month sitting on the table.

FOUR HIDDEN DRIVERS THAT PUSH PRIME COST ABOVE 65%

Most operators know when their food cost spikes. Fewer catch these:

Scheduling to potential, not to confirmed covers. You wrote a schedule for a Saturday you hoped would be busy. It was average. The labor cost locked in Thursday when you posted the schedule.

Overtime that nobody flagged. A single employee at 1.5x for 8 hours costs as much as an extra full shift. Weekly labor reports catch this. Monthly P&Ls; hide it in the average.

Comps and voids eating your denominator. You are calculating prime cost against gross revenue. But heavy comp nights reduce actual revenue while your COGS stays the same. Track comp % separately — it is its own problem.

Family meal and waste counted as COGS without offsetting it. If your inventory process does not separate consumed-by-staff from sold, your food cost % is lying. It looks like sales that never happened.

BENCHMARKS: WHERE YOUR NUMBER SHOULD LAND

Full-service independents nationally average **62-63% prime cost**. The gap between average and excellent is narrow in dollar terms — about 5-7 percentage points — but enormous in actual profit. At \$200K/month revenue, the difference between 62% and 57% is \$10,000 a month.

Concept / Service Type	Typical Prime Cost	Strong Performance	Your Number
Full-service independent	60 - 65%	55 - 58%	_____
Fast casual / counter service	55 - 62%	50 - 54%	_____
Bar-forward (high beverage mix)	52 - 60%	48 - 53%	_____
Fine dining	58 - 65%	54 - 58%	_____
Catering / off-site events	35 - 45%	30 - 38%	_____
Private dining (on-site events)	38 - 48%	33 - 40%	_____

Benchmarks derived from National Restaurant Association 2024 State of the Restaurant Industry, Restaurant365 Prime Cost Report, and Toast Annual Restaurant Trends Report. DFW market may vary +/-5-8% based on price point and concept type.

THE CATERING ADVANTAGE: HALF THE PRIME COST RISK

Notice the bottom two rows of that table. Catering and private dining routinely run 15-25 percentage points below a typical dining room. That is not a rounding error — it is a fundamentally different cost structure.

Here is why the math works in your favor on events:

Pre-set menus cut food cost waste. You order exactly what you need. No over-prepping for a crowd that did not show. No mis-fires on a menu guests had six options to order from. COGS stays tight because the variables are controlled.

Fixed headcount eliminates labor over-scheduling. You staff for the confirmed guest count. No hedging, no carrying extra FOH for a walk-in surge. Labor cost locks in at a number that makes sense.

Deposits de-risk the entire shift. A 25-50% deposit at booking means you are not chasing revenue on the night. The commitment is there before your prep team ever touches a knife.

THE MATH IN PLAIN ENGLISH

A single \$5,000 private event at 40% prime cost contributes \$3,000 to your gross profit. A \$5,000 dining room night at 63% prime cost contributes \$1,850. Same revenue. \$1,150 difference in what you keep.

THE QUESTION THAT FOLLOWS

If catering and private events carry half the prime cost risk of your dining room, the obvious move is to grow that revenue channel. The obstacle is almost never the product — your food is good enough. *It is the inquiry-to-booking conversion rate.*

Guide 03 in this series covers exactly that: The Catering Lead Gap. How to calculate what your missed inquiries are costing you in annual revenue, and what a working lead recovery system actually looks like.

Want us to run your prime cost with you?

We offer a free 20-minute revenue audit for DFW restaurant operators. Bring your last month of revenue and a payroll summary. We calculate your prime cost, identify the biggest driver, and show you what catering revenue could do to your overall margin. No pitch until we have shown you the math. Book at pinchhitdigital.com/audit — or email jeremy@pinchhitdigital.com.

Pinch Hit Digital helps DFW independent restaurant operators build systems to capture and convert catering leads. pinchhitdigital.com